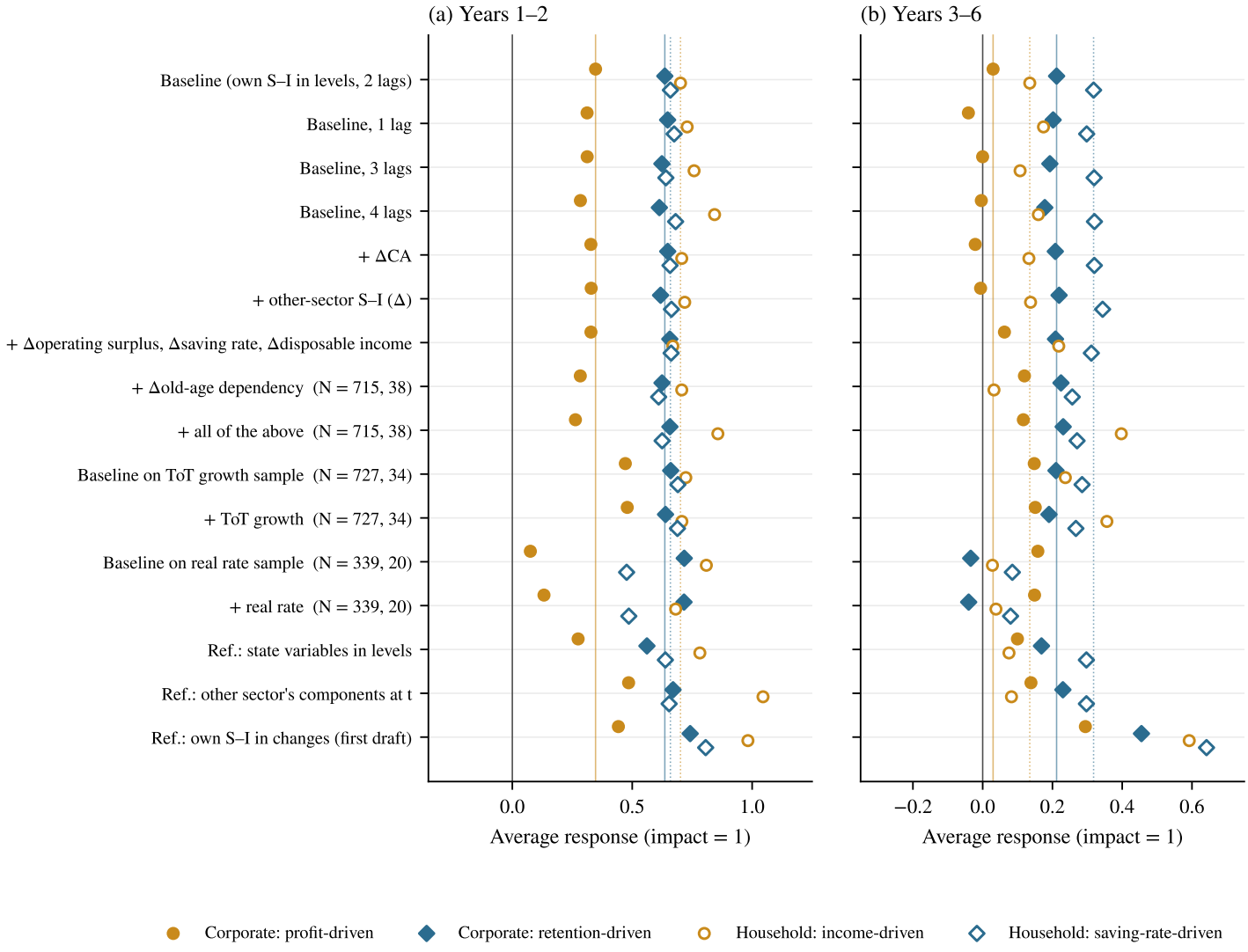
Sensitivity of persistence to control variables



Notes: Point estimates. Baseline: own-sector balance in levels, the four components and GDP growth, two lags each; the own sector's two components at t; country and year fixed effects; two-step weighted least squares with weights re-estimated for each specification. Added controls enter with two lags, in levels if country-by-country ADF tests reject a unit root at 10 percent for a majority of economies and in first differences otherwise (only GDP growth, ToT growth and the real rate pass). Common sample of 795 country-years unless noted; ToT and the real rate are compared with the baseline on the same subsample. Vertical lines mark the baseline.